

MINDWEALTH · Runic Agent v2.2

7 Named Macro Combos · 12 Variables · 298 Total Combinations · Internal Reference · May 2026

The Runic Agent monitors 12 macro variables nightly and checks 298 combinations (12C1=12 single, 12C2=66 two-variable, 12C3=220 three-variable) for simultaneous extremes using percentile rank — not z-scores. Of these, 7 are pre-named (A–G) with validated historical instances and documented forward returns. The remaining 291 are auto-discovered purely in Python + SQL: compute rolling 3-year percentile ranks, check all combinations for simultaneous RARE threshold breaches, measure SPX forward returns, and gate at ≥80% hit rate / ≥5 instances. No Claude API is involved in auto-discovery — Claude API is used only for regime classification per fire date, nightly narrative, and monthly naming of new candidate combos.

All thresholds use percentile rank (3-year rolling window), not z-scores. Financial variables have fat tails (leptokurtosis); z-scores understate extremes at precisely the moments the system most needs to signal. Percentile rank is distribution-agnostic.

COMBO	NAME	VARIABLES REQUIRED	HORIZON	HIT RATE	AVG RETURN	HISTORICAL INSTANCES	KEY NOTES / SPECIAL RULES
A	Global Liquidity / FCI Regime	NFCI + HY direction + WALCL + CNH (≥2 of 4 required simultaneously)	3–6m	~78%	BRAVE +12% FEARFUL -8%	~4–5 since 1990	FCI is master switch. HY confirms. WALCL confirms QE/QT. GFC QE 2009 · COVID QE Mar 2020 · Fed pivot Jan 2019 · Hike onset Mar 2022
B	Maximum Capitulation / Blood in Streets	VIX >25 + 80th pctile AND HY >400bps AND CFTC <15th pctile (ALL 3 simultaneously — singles/doubles = WATCH only)	3m	87–91% (91% cutting 68% hiking)	+14% avg 3m	8 since 1990	CRITICAL: VIX size multiplier BYPASSED. Never reduce size on confirmed B. 68% = regime-adjusted hit rate in hiking cycles only — not a gate threshold. Oct 13 2022: SPX +19% 3m later.
C	Stagflation / Energy Shock	WTI >+10% rolling 28-day change [see footnote] AND CPI actual ≤ consensus = NOT HOT [see cancel logic] AND WALCL flat (±0.8% MoM) or shrinking	1–6m (duration tracked)	~83% neg 1–6m	Neg avg 1–6m	~4–5 since 2005	Duration: SHORT <6wks · MEDIUM 6–16wks · LONG >16wks Cancel: 4 consecutive Friday WTI readings <+5% AND data condition satisfied Jun 2008 · Jun 2022 · Apr 2025 · Apr–May 2026 (active wk 11 as of May 26 2026)
D	FOMO Top / Euphoria Tactical	VXTS ratio >1.10 (deep contango) AND CFTC >85th pctile AND VIX <18 (strictly less than)	3–10 days to 4wks	72–85%	-3 to -5% over 5 days	~4–5 since 2018	Short-horizon only. Needs Combo E to confirm structural top. VXTS >1.10 = near-term vol compressed (complacency). Long-run avg = 1.07–1.10. Jan 2018 · Feb 2020 · Nov 2021 · Apr 2026
E	Valuation Extreme / Slow Burn Top	CAPE >28x AND NFCI easy (NFCI <-0.3) AND CFTC >80th pctile (2 of 3 required)	6–18m	~73% neg fwd 12m	Neg fwd 12m	~3–4 since 1990	Long-horizon warning — NOT a standalone sell signal. Acts as MULTIPLIER on Combo D when both fire together. CAPE >32 = EXTREME tier. Today CAPE 42x = EXTREME. Mar 2000 · Oct 2007 · Nov 2021
F	Recovery / Re-entry Signal	SPX reclaims 50-Week MA with ≥+3% weekly gain WHILE CFTC ≤50th pctile (prior sustained break below 50WMA required)	3–6m (26-week window)	~78% (91% in QE)	+9.46% avg 6m	16 since 1932	Active for 26-week window from fire date. No early cancel unless Combo B fires again. Hit rate drops ~20pp if CFTC already extreme long at reclaim. Jun 2020 +18.3% · Oct 2023 +17% · Mar 30 2026 (active wk 8 of 26)
G	Hidden Stress / Credit-Vol Divergence	VXTS <1.0 (backwardation: near-term fear > medium-term) AND HY widening >+30bps in 4 weeks WHILE VIX <20	Leads vol spike 3–6 weeks	~75% (lead indicator)	Timing warning not return predictor	~4–5 since 2015	Most powerful early warning — fires BEFORE the event. Watch for G→B cascade. pre-Aug 2015 · pre-Dec 2018 · pre-COVID Feb 2020 · Apr 2025 (now resolved)

FOOTNOTES AND CANCEL CONDITION LOGIC

WTI ROLLING 28-DAY CHANGE — Computed daily as: (WTI close today – WTI close 28 calendar days ago) / WTI close 28 calendar days ago. Source: Yahoo Finance CL=F. Timing: NYMEX WTI cash market close (~14:30 ET). This is a rolling daily calculation, not a calendar-month comparison.

COMBO C CANCEL CONDITION — PRECISE LOGIC

Requires 4 consecutive Friday assessments where BOTH conditions are satisfied on EACH Friday:

WTI LEG: Rolling 28-day WTI change on that Friday must be below +5%. Checked at NYMEX close (~14:30 ET). Must be below +5% on all 4 Fridays — not an average.

DATA LEG (CPI / PPI pairing logic):

Step 1: Check if a CPI print was published in the Mon–Thu window preceding that Friday. Source: BLS.gov actual. Consensus: Investing.com economic calendar.

Step 2: If CPI available — "not hot" = actual ≤ consensus (at or below, zero positive surprise). Hot = actual > consensus → cancel blocked for that Friday.

Step 3: If no CPI that week — check for PPI (same logic: BLS.gov actual vs Investing.com consensus).

Step 4: If neither CPI nor PPI published that week — data condition passes by default. WTI leg alone governs for that Friday.

Step 5: If CPI published early in the week (Mon–Thu) → pairs with THAT week's Friday WTI reading.

Step 6: If CPI published after Friday (Saturday or early following week) → stored as pending_cpi_release and paired with the NEXT Friday's WTI reading. Does NOT retroactively affect the prior Friday's assessment.

Both WTI and data conditions must be jointly satisfied on each of the 4 Fridays. One hot print in any week blocks the cancel regardless of WTI. If 3 Fridays clear and the 4th fails, the counter resets — you need 4 new consecutive clean Fridays.

SPEC GAPS AND OPEN QUESTIONS — Requires resolution before Divyanshu build

#	GAP / AMBIGUITY	PROPOSED RESOLUTION
1	WALCL "flat" undefined in Combo C fire condition	Flat = MoM change between −0.8% and +0.8%. Below −0.8% = shrinking. Both satisfy the WALCL leg.
2	CFTC data lag not addressed — TFF report published Friday reflects prior TUESDAY positions. Combo B fires on Friday using real-time VIX + HY but 3-day-old CFTC.	Accept lag for v1. Flag Combo B status as "PENDING CFTC CONFIRM" until Tuesday data is confirmed. Document the 3-day lag explicitly in the briefing output.
3	Combo A BRAVE vs FEARFUL direction logic for CNH not defined. Does USD/CNH rising (yuan weakening) = tightening or easing?	USD/CNH rising = tightening (EM stress, capital outflows). Falling = easing. Document per variable.
4	GSR listed as "A+" in variable table — not one of the 7 named combos, never defined.	Clarify: GSR is a modifier to Combo A that increases conviction when also firing. Not a standalone combo. Needs formal definition of when GSR "confirms" Combo A.
5	Combo D VIX <18 boundary — strictly less than or less than or equal to?	Strictly less than (<18). If VIX = 18.00 exactly, condition not met.
6	Combo F "prior drawdown" undefined — minimum depth or duration not specified.	Propose: at least 1 weekly close below 50WMA required. No minimum depth. Any confirmed weekly close below qualifies.
7	Auto-discovery history window — if combo variables have different data start dates, which window governs?	Use shortest available history among the combo's constituent variables. Document effective start date per combo in combo_fires table.
8	Combo B RARE vs EXTREME threshold ambiguity — fire uses RARE (VIX>25, HY>400bps) but Oct 2022 validation had HY at 614bps (EXTREME tier).	RARE is the minimum threshold to fire. EXTREME tier on any leg increases hit rate conviction but does not change the fire condition. Document both tiers in briefing output when EXTREME is reached.

Instance counts: Combo B most precisely documented (8 fires since 1990). Combo F longest history (16 instances since 1932). All regime-adjusted hit rates derived via SQL on combo_fires + forward_returns tables. Hit rate = % of completed historical fires (spx_3m IS NOT NULL) where SPX was positive 3m later for bullish combos, negative for bearish.